

According to Rosen, this inequality comes from a tournament effect: someone who is marginally “better” can easily win the entire pot, leaving the others with nothing. Using an argument from [Chapter 3](#), people prefer to pay \$10.99 for a recording featuring Horowitz to \$9.99 for a struggling pianist. Would you rather read Kundera for \$13.99 or some unknown author for \$1? So it looks like a tournament, where the winner grabs the whole thing—and he does not have to win by much.

But the role of luck is missing in Rosen’s beautiful argument. The problem here is the notion of “better,” this focus on skills as leading to success. Random outcomes, or an arbitrary situation, can also explain success, and provide the initial push that leads to a winner-take-all result. A person can get slightly ahead for entirely random reasons; because we like to imitate one another, we will flock to him. The world of contagion is so underestimated!

As I am writing these lines I am using a Macintosh, by Apple, after years of using Microsoft-based products. The Apple technology is vastly better, yet the inferior software won the day. How? Luck.

The Matthew Effect

More than a decade before Rosen, the sociologist of science Robert K. Merton presented his idea of the Matthew effect, by which people take from the poor to give to the rich.* He looked at the performance of scientists and showed how an initial advantage follows someone through life. Consider the following process.

Let’s say someone writes an academic paper quoting fifty people who have worked on the subject and provided background materials for his study; assume, for the sake of simplicity, that all fifty are of equal merit. Another researcher working on the exact same subject will randomly cite three of those fifty in his bibliography. Merton showed that many academics cite references without having read the original work; rather, they’ll read a paper and draw their own citations from among its sources. So a third researcher reading the second article selects three of the previously referenced authors for *his* citations. These three authors will receive cumulatively more and more attention as their names become associated more tightly with the subject at hand. The difference between the winning three and the other members of the original cohort is mostly luck: they were initially chosen not for their greater skill, but simply for the way their names appeared in the prior bibliography. Thanks to their reputations, these successful academics will go on writing papers and their work will be easily accepted for publication. Academic success is partly (but significantly) a lottery.*